



Alu-Alu Command

Project viability - own funds & leverage

Revision 10
26 Jun 2026

KEY ASSUMPTIONS				RAW MATERIALS - chosen vendor		
Selling price	Rs 490/kg	Wastage	+6%	OPA	Vendor A	Rs 240/kg
RM incl wastage	Rs 396	Fixed assets	Rs 3.45 Cr	Aluminium foil 802	Vendor A	Rs 520/kg
RM stock	30 d	Finished goods	15 d	PVC	Vendor A	Rs 170/kg
Debtor days	75 d	Creditor days	30 d	Adhesive	blended	Rs 237/kg
Target ROI	30%	Interest	11%			
Tax	0%	Equity cap	Rs 8 Cr			
				Ideal RM cost / kg		Rs 373/kg
				add Std wastage		+ 6.00%
				RM cost / kg (incl. wastage)		Rs 396/kg

RETURNS BY MONTHLY VOLUME (Rs Cr / year, grey = % of sales)

	25T	50T	75T	100T
PROFIT & LOSS				
Sales	14.70	29.40	44.10	58.80
Raw material	11.88 81%	23.75 81%	35.63 81%	47.51 81%
Fixed cost	1.72 12%	1.99 7%	2.31 5%	2.64 4%
Variable cost	0.42 3%	0.84 3%	1.26 3%	1.68 3%
Operating profit	0.68 5%	2.82 10%	4.89 11%	6.97 12%
less Interest on debt	0.00	0.28	0.67	1.06
Net profit (after int. & tax)	0.68 5%	2.54 9%	4.22 10%	5.91 10%
INVESTMENT				
Fixed assets	3.45	3.45	3.45	3.45
Working capital	3.60	7.13	10.67	14.21
Total capital employed	7.05	10.58	14.12	17.66
FUNDING WITH YOUR RS 8 CR EQUITY (balance = debt)				
RoCE (on capital)	10%	27%	35%	39%
Your equity	7.05	8.00	8.00	8.00
Debt to arrange	0.00	2.58	6.12	9.66
Debt : Equity	0.00:1	0.32:1	0.77:1	1.21:1
RoE (on your equity)	10%	32%	53%	74%

BREAK-EVEN - the floor you must clear every month (price Rs 490/kg)		
BREAK-EVEN VOLUME	BREAK-EVEN SALES	
20.7 T / month	Rs 1.01 Cr / mo	
20,662 kg / month	sell below this and the month is a loss	
Contribution Rs 80/kg (price - RM - variable)	Fixed Rs 16,55,000/mo	Safety +59% above breakeven



Capital & self-funding

How the money is built - detail at 50 T/mo

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CAPITAL & RETURNS - AT 50 T / MONTH

TOTAL CAPITAL EMPLOYED	RoCE	EQUITY	DEBT	RoE
Rs 10.58 Cr A + B	27% op. profit Rs 2.82 Cr	Rs 8.00 Cr 76% of capital	Rs 2.58 Cr D:E 0.32:1	32% clears 30%

FIXED ASSETS (A) - Rs 3.45 Cr	WORKING CAPITAL (B) - Rs 7.13 Cr
Same at every volume (Rs Cr)	How each piece is worked out, at 50T
AluAlu lamination machine 1.25	Raw material stock Rs 1.95 Cr Annual RM 23.75 Cr / 365 x 30 d
Slitting machine 0.30	Finished goods & WIP Rs 1.09 Cr Annual COGS 26.58 Cr / 365 x 15 d
Hot room / AHU HVAC 0.25	Debtors Rs 6.04 Cr Annual sales 29.40 Cr / 365 x 75 d
QC lab 0.20	less Creditors - Rs 1.95 Cr Annual RM 23.75 Cr / 365 x 30 d
Epoxy flooring 0.10	
Adhesive mixture 0.05	
Cabins, electricals & furniture 0.50	
Doctoring machine 0.10	
Genset 0.10	
Roll stand & rack 0.10	
Miscellaneous 0.50	
Total fixed assets Rs 3.45 Cr	Net working capital (B) Rs 7.13 Cr

SELF-FUNDED CEILING - Rs 8 Cr, NO DEBT - where your own money runs out				
You get stuck at	Sales	RM + costs	Net profit	RoCE here
31.7 T / month turnover Rs 18.66 Cr / yr	Rs 18.66 Cr	Rs 17.40 Cr	Rs 1.26 Cr	16%

WILL YOU NEED OUTSIDE MONEY? - funding the working-capital cycle					
Cash stays tied up about 90 days: RM stock 30 + finished goods 15 + debtors 75 - suppliers' credit 30. That locked-up cash IS the working capital, and it must be funded before the first rupee of profit comes in.					
Volume	Capital needed	Your Rs 8 Cr	Outside	Profit/yr	Repaid in
25T	7.05 Cr	7.05 Cr	none	0.68 Cr	-
50T	10.58 Cr	8.00 Cr	2.58 Cr	2.54 Cr	~12 mo
75T	14.12 Cr	8.00 Cr	6.12 Cr	4.22 Cr	~17 mo
100T	17.66 Cr	8.00 Cr	9.66 Cr	5.91 Cr	~20 mo
Up to ~32T your Rs 8 Cr funds the fixed assets and the whole working-capital cycle - NO outside money. Past that, the outside need is a bridge the business repays from its own profit in about 20 months - short-term working-capital finance, not permanent debt. Suppliers (30d) and salaries are paid on their due dates throughout.					



Monthly cost break-up

Every line, across all four volumes - 50T highlighted

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COST PER MONTH BY VOLUME (Rs)				
	25T	50T	75T	100T
FIXED COST				
Marketing	1,50,000	2,00,000	2,50,000	3,00,000
Admin	2,25,000	2,50,000	2,75,000	3,00,000
Lamination machine	75,000	1,00,000	1,25,000	1,50,000
Production supervisor	75,000	75,000	75,000	75,000
QA	0	0	38,000	75,000
QC	50,000	50,000	50,000	50,000
Adhesive mixing operator	0	0	13,000	25,000
Slitting operator	20,000	30,000	40,000	50,000
Helpers	1,75,000	2,00,000	2,25,000	2,50,000
Electricity	1,50,000	2,00,000	2,50,000	3,00,000
Rent	2,00,000	2,00,000	2,00,000	2,00,000
Repair & maintenance	38,000	50,000	63,000	75,000
Other expenses	1,25,000	1,50,000	1,75,000	2,00,000
Contingency	1,50,000	1,50,000	1,50,000	1,50,000
Total fixed / month	14,33,000	16,55,000	19,29,000	22,00,000
VARIABLE COST				
Packaging materials	1,00,000	2,00,000	3,00,000	4,00,000
Transportation	1,00,000	2,00,000	3,00,000	4,00,000
Other expenses	1,50,000	3,00,000	4,50,000	6,00,000
Total variable / month	3,50,000	7,00,000	10,50,000	14,00,000
PER KILOGRAM				
Conversion cost / kg	Rs 71.32	Rs 47.10	Rs 39.72	Rs 36.00
RM cost / kg (incl. wastage)	Rs 396	Rs 396	Rs 396	Rs 396
Selling price / kg	Rs 490	Rs 490	Rs 490	Rs 490

READING IT

Fixed cost is the same rupees whether you sell little or much, so spreading it over more kilos is what drives the conversion cost down from Rs 71.32/kg at 25T to Rs 36.00/kg at 100T. With RM at Rs 396/kg and price at Rs 490/kg, every extra tonne widens the gross margin - the single biggest lever on this project.